

U.S. DEPARTMENT OF AGRICULTURE
WASHINGTON, D.C. 20250

DEPARTMENTAL REGULATION	NUMBER: DR 1521-003
SUBJECT: Legal Review and Execution of Settlement Agreements for Program Civil Rights Matters	DATE: December 26, 2023
OPI: Office of the General Counsel	EXPIRATION DATE: December 26, 2028

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1. PURPOSE

This Departmental Regulation (DR) establishes the United States Department of Agriculture (USDA) requirements for obtaining legal sufficiency review and concurrence for settlement agreements in civil rights matters involving USDA's conducted and assisted programs and activities. This DR also sets forth the level of authority necessary for the execution of Settlement agreements by USDA Mission Areas, agencies, and staff offices.

2. SPECIAL INSTRUCTIONS/CANCELLATIONS

This DR in tandem with [DR 1521-002](#), *Legal Review and Execution of Personnel Settlement Agreements*, supplements [DR 1521-001](#), *Legal Review and Execution of Non-Personnel and Non-Program Civil Rights Settlement Agreements*.

3. SCOPE

This DR applies to all USDA Mission Areas, agencies, and staff offices.

4. POLICY

- a. It is the policy of USDA that Program Civil Rights Settlement Agreements be entered into by individuals within Mission areas, agencies, and staff offices at sufficiently high levels of authority to ensure that the settlements are in the best interests of the Government. It also is the policy of USDA that monetary settlement agreements above certain thresholds be reviewed by and concurred with by the Office of the General Counsel (OGC) prior to the terms or any agreement being provided to opposing parties in litigation.
- b. It is the policy of USDA that, if after reviewing, OGC deems a draft Program Civil Rights Settlement Agreement legally insufficient or otherwise does not concur, the Program Civil Rights Settlement Agreement shall not be entered into by the submitting USDA Mission Area, agency, or staff office. OGC's legal sufficiency review and concurrence is in addition to existing processes that USDA Mission Areas, agencies, and staff offices use for negotiating and processing Program Civil Rights Settlement Agreements, including regulations identified in Appendix C, *Authorities and References*.
- c. It is the policy of USDA that prior to entering into a Program Civil Rights Settlement Agreement for conducted programs and activities in an amount of \$50,000 or more, including attorneys' fees, all USDA Mission Areas, agencies, and staff offices first submit the Program Civil Rights Settlement Agreement to OGC for legal sufficiency review and concurrence.
- d. It is the policy of USDA that prior to the terms of any Program Civil Rights Settlement Agreement for assisted activities regardless of monetary amount being communicated outside of USDA that all USDA Mission Areas, agencies, and staff offices first submit all proposed terms of the Program Civil Rights Settlement Agreement to OGC for legal sufficiency review and concurrence.

5. ROLES AND RESPONSIBILITIES

- a. The Office of the General Counsel will provide legal sufficiency review and concurrence or nonconcurrence for Program Civil Rights Settlement Agreements above certain thresholds as set forth in Section 4, *Policy*.
- b. USDA Mission Area Heads, Agency Heads, and Staff Officer Directors will:
 - (1) Take the necessary steps to ensure awareness of and compliance with this directive within their organization, and to ensure that Program Civil Rights Settlement

Agreements above the thresholds in Section 4 are provided to the General Counsel for advice, required legal sufficiency review, and concurrence;

- (2) Take the necessary steps to ensure that Program Civil Rights Settlement Agreements are approved by individuals with sufficient authority within the organization;
- (3) Take the necessary steps to ensure that their organization's Resolving Officials (RO) are aware of the roles and responsibilities in Section 5c, *Resolving Officials*; and
- (4) Take the necessary steps to ensure their organization provides OGC with a copy of all Program Civil Rights Settlement Agreements once signed by the RO.

c. Resolving Officials should:

- (1) Consult with program management and appropriate USDA personnel involved in any settlement implementation prior to any settlement negotiation. The consultation should include acquiring knowledge of the basic facts of the case, significant legal issues involved in the case, and any recommendations for settlement prior to beginning any settlement negotiation. Consultation may include reviewing any written summary or oral briefing on the facts and legal issues of the case. The sole purpose of any consultation is to allow the RO to gather information the RO deems necessary to make informed decisions in the best interest of the Secretary;
- (2) Ensure that any Program Civil Rights Settlement Agreements is in the best interest of the Government. The RO should strive to assess the Government's position through a fair assessment of liability risk and equitable considerations;
- (3) Negotiate in good faith;
- (4) Agree to terms for resolution only within the limits of their authority. If the RO is unsure whether they have the authority to offer or approve a required remedy, the RO will stop the settlement discussions until they obtain clarification on the scope of their settlement authority; and
- (5) Seek consultation of the General Counsel if uncertain regarding the meaning or effect of a proposed Program Civil Rights Settlement Agreements or individual settlement term. If any concern exists regarding the legality of a proposed term, the RO must consult with the General Counsel before placing a signature on the Program Civil Rights Settlement Agreements.

- d. Approving Official Levels for Program Civil Rights Settlement Agreements are:
- (1) Deputy Administrators for Management (or equivalent position), or higher, will approve Program Civil Rights Settlement Agreements of up to \$5,000, inclusive of monetary and non-monetary awards, programmatic relief, and attorneys' fees.
 - (2) Agency Heads, Staff Office Directors, or higher, will approve Program Civil Rights Settlement Agreements of \$5,001 to \$49,999, inclusive of monetary and non-monetary awards, programmatic relief, and attorneys' fees.
 - (3) Under Secretaries, Assistant Secretaries, or higher, will approve Program Civil Rights Settlement Agreements of \$50,000 or more, inclusive of monetary and non-monetary awards, programmatic relief, and attorneys' fees.

6. INQUIRIES

USDA Mission Areas, agencies, and staff offices should direct questions and inquiries regarding this DR to OGC at telephone number 202-720-3351.

-END-

APPENDIX A

ACRONYMS AND ABBREVIATIONS

CFR	Code of Federal Regulations
DR	Departmental Regulation
LEP	Limited English Proficiency
OASCR	Office of the Assistant Secretary for Civil Rights
OGC	Office of the General Counsel
REE	Research, Education, and Economics
RO	Resolving Official
SES	Senior Executive Service
SL	Senior Level
ST	Scientific and Professional Level
USDA	United States Department of Agriculture

APPENDIX B

DEFINITIONS

Agency. Organizational units of the Department, other than staff offices as defined in the “Resolving Official” (RO) definition below, whose heads report to officials within the Office of the Secretary, Deputy Secretary, Under and Assistant Secretaries. (Source: USDA, [DR 0100-001](#), *Departmental Directives System*)

Approving Official. A USDA employee at the Deputy Administrator for Management (or equivalent position) or higher with delegated authority to approve the monetary settlement terms proposed by RO for resolution of a matter or case on behalf of the Secretary and USDA when the proposal meets the criteria of Section 5c of this DR.

Assisted Programs and Activities. All of the operations of any entity listed in 7 Code of Federal Regulations ([CFR](#)) § 15.2(k), *Program or activity*, any part of which receives Federal financial assistance from USDA. (Sources: 7 CFR § 15.2(k), and USDA, [DR 4330-002](#), *Nondiscrimination in Programs and Activities Receiving Federal Financial Assistance From USDA*)

Complaint. A written statement (except as provided below) that contains the complainant's name and address and describes an agency's alleged discriminatory action in sufficient detail to inform the Office of the Assistance Secretary for Civil Rights (OASCR) of the nature and date of an alleged civil rights violation. The statement must be signed by the complainant(s) or someone authorized to sign on behalf of the complainant(s). The complaint does not need to be written or signed if it is submitted in an alternate format to accommodate the complaint filing needs of a person who has a Limited English Proficiency (LEP), a disability, or other special need. (Sources: USDA, DR 4330-002, and [DR 4330-003](#), *Nondiscrimination in USDA-Conducted Programs and Activities*)

Conducted Programs and Activities. Program services, benefits or resources delivered directly to the public by USDA. (Source: USDA, DR 4330-003)

Federal Financial Assistance or financial assistance from USDA. Includes:

- a. Grants and loans of Federal funds;
- b. The grant or donation of Federal property and interests in property;
- c. The detail of Federal personnel;
- d. The sale and lease of, and the permission to use (on other than a casual or transient basis), Federal property or any interest in such property or the furnishing of services without consideration or at a nominal consideration, or at a consideration which is

reduced for the purpose of assisting the recipient, or in recognition of the public interest to be served by such sale, lease or furnishing of services to the recipient; and

- e. Any Federal agreement, arrangement, or other contract which has as one of its purposes the provision of assistance.

(Sources: [7 CFR § 15.2\(g\)](#), *Federal financial assistance*, and USDA, DR 4330-002)

Mission Area. A group of agencies with related functions that report to the same Under or Assistant Secretary. Research, Education, and Economics (REE) is an example of a mission area. (Source: USDA, DR 0100-001)

Program Civil Rights Complaint. A complaint wherein a program recipient or beneficiary asserts a violation of an applicable law, regulation, or policy based on race, color, national origin, religion, sex, disability, marital status, family or parental status, income derived from a public assistance program, political beliefs, or reprisal or retaliation for prior civil rights activity, in any program or activity conducted by USDA or which receives Federal financial assistance from USDA. (Source: USDA, DR 4330-002)

Program Civil Rights Settlement Agreement. Proposed resolution terms within any written agreement to resolve formal or informal program civil rights complaints where the USDA is party pending in the Department, any Federal court, or any court of competent jurisdiction. Agreements to resolve or withdraw a complaint against a recipient of Federal financial assistance in which USDA's role is limited to oversight, compliance, training, or other, non-monetary technical assistance to the recipient are not Program Civil Rights Settlement Agreements for purposes of this Departmental Regulation.

Resolving Official (RO). A USDA employee at the Senior Executive Service (SES), Senior Level (SL), or Scientific and Professional level (ST) or higher level with delegated authority to resolve a matter or case on behalf of the Secretary and USDA. The RO may be someone from a different subcomponent of the agency or staff office involved.

Staff Office. Departmental administrative offices whose heads report to officials within the Office of the Secretary. (Source: USDA, DR 0100-001)

APPENDIX C

AUTHORITIES AND REFERENCES

[7 CFR § 15.2\(g\)](#), *Federal financial assistance*

[7 CFR § 15.2\(k\)](#), *Program or activity*

USDA, [DR 0100-001](#), *Departmental Directives System*, January 4, 2018

USDA, [DR 1521-001](#), *Legal Review and Execution of Non-Personnel and Non-Program Civil Rights Settlement Agreements*, February 6, 2024

USDA, [DR 1521-002](#), *Legal Review and Execution of Personnel Settlement Agreements*, December 26, 2023

USDA, [DR 4330-002](#), *Nondiscrimination in Programs and Activities Receiving Federal Financial Assistance from USDA*, July 27, 2021

USDA, [DR 4330-003](#), *Nondiscrimination in USDA-Conducted Programs and Activities*, October 3, 2022

USDA, [DR 4330-005](#), *Prohibition Against National Origin Discrimination Affecting Persons with Limited English Proficiency in Programs and Activities Conducted by USDA*, June 4, 2013